

stimulate or cool down economic activity. For investors, understanding interest rate trends is crucial, as it impacts the cost of capital and the valuation of financial assets.

6.2.2 Inflation

Inflation measures the rate at which the general level of prices for goods and services rises. Moderate inflation is generally considered normal, but high or hyperinflation can erode purchasing power. Investors monitor inflation rates to assess the impact on real returns and adjust investment strategies accordingly.

6.2.3 GDP Growth

Gross Domestic Product (GDP) is a key economic indicator that measures the overall health and performance of an economy. Investors analyze GDP growth rates to gauge economic expansion or contraction. Strong GDP growth is generally associated with increased corporate profits and investment opportunities.

Understanding industry dynamics through tools like Porter's Five Forces and SWOT analysis provides a strategic perspective on the competitive landscape. Concurrently, monitoring economic indicators such as interest rates, inflation, and GDP growth enables investors to contextualize industry trends within the broader economic environment. In the upcoming chapters, we will explore how industry and economic analyses integrate into the fundamental analysis framework, allowing investors to make well-informed decisions in a dynamic market.